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HBP# IM1439

The AI paradox:

Will Generative AI enhance or destroy the business model of 99designs.com?

IMD

IMD-7-2505

Professor Stefan Michel prepared this case as a basis for class discussion rather than to illustrate either effective or ineffective handling of a business situation.

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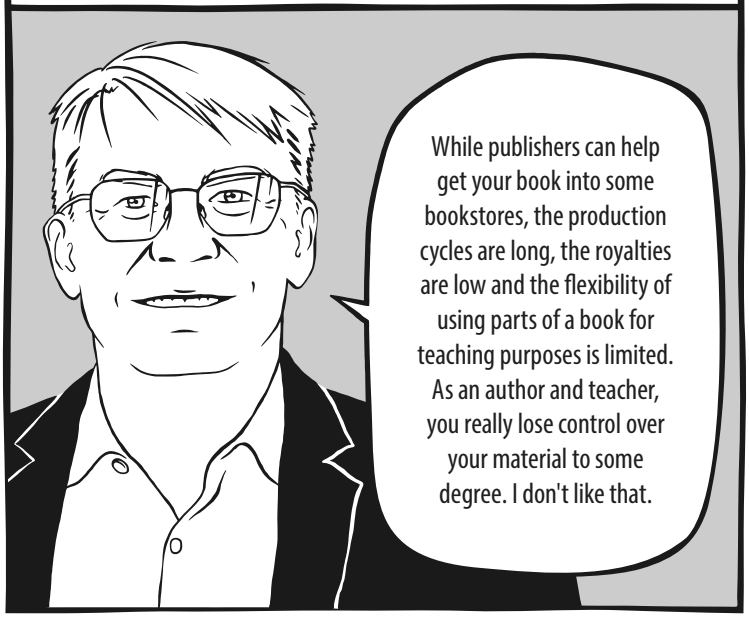
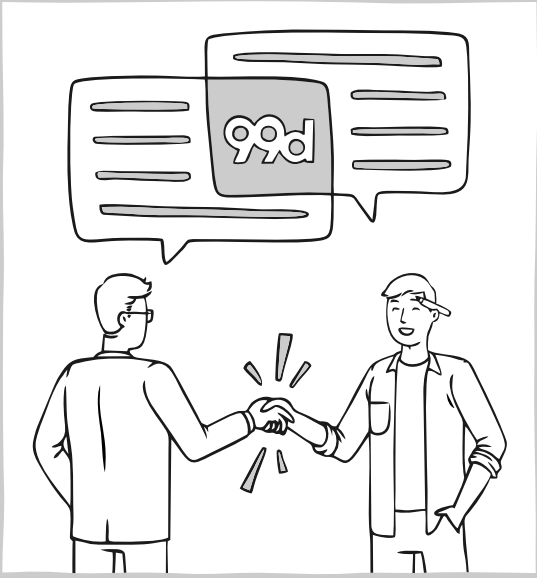
Stefan Michel, a professor at IMD Business School in Switzerland, had published 12 non-fiction books with traditional publishers; his experiences had been mixed. In 2022, he selected Amazon's KDP as the primary distributor for his book, **Real Impact Marketing**, co-authored with Lisa Duke.



While working on the manuscript for a new book titled **Real Impact Strategy**, Stefan and his co-authors Niccolò Pisani and Siri Terjesen decided to use the 99designs.com platform to design the book cover.



99designs.com is a global online platform that connects designers with clients who need design work. The platform offers various design services, including logo creation, website design, packaging and more. 99designs operated on a crowdsourcing model that invited designers from around the world to bid and to compete for projects.

	Bronze	Silver	Gold	Platinum
	$279	$469	$749	$1099
Design concepts (approx.)	30	60	90	60
100% money-back guarantee	✔	✔	✔	✔
Full copyright ownership	✔	✔	✔	✔
Mid - Top level designers only	—	—	✔	—
Top Level designers only	—	—	—	✔
Dedicated manager	—	—	—	✔
Prioritized support	—	—	—	✔

The authors chose the platform's competition model. The winning designer would receive a fixed fee of US $749, while all other contestants submitting book cover ideas would not get paid. In return, the authors would receive about 90 designs, the ability to run several social media surveys on the designs and, for the final delivery, the book cover designs as Adobe Illustrator files, including all the copyrights attached. All this came with a money-back guarantee.

Step 1: Create the brief

After paying the fee upfront, the authors had to develop an extensive brief guided by the 99designs.com platform.
The brief for a book cover must enable the designers to understand its positioning, target market, and design considerations.

Book format:	5x7 inch
Title of the book:	Real Impact Strategy
Subtitle:	Crafting Your Next Winning Moves
Color:	TBD
Typeface:	Stone Sans
Style:	Illustrations, no real humans and pictures

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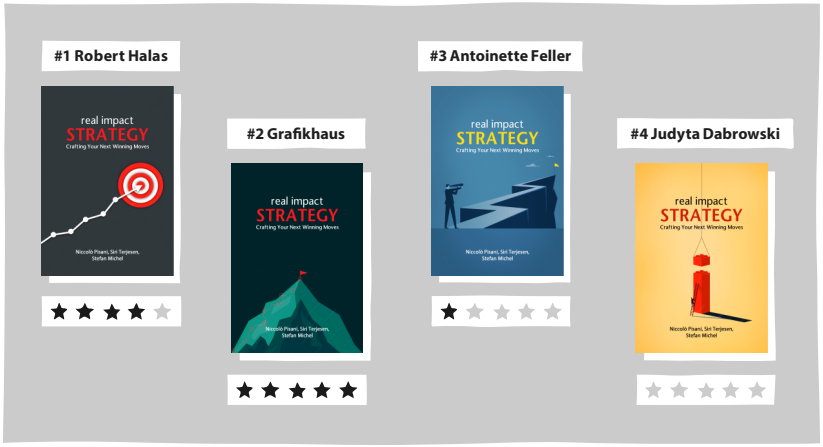
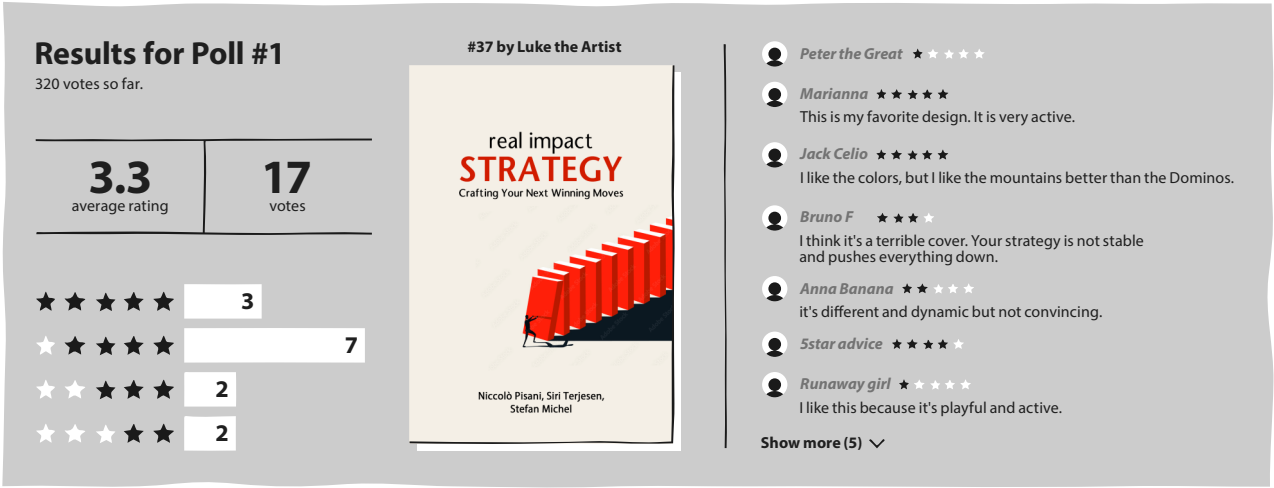
Step 2: Rate the submissions

Less than four hours after the brief was published, the authors received the first book cover design proposals from several designers worldwide. Here is where the interactive part started to get interesting. The client rates each proposal from 1-star to 5-stars and posts comments. The comments can be public or only to the designer. Public comments are read by all contestants, who also monitor the ratings for all submissions. As the contest unfolds, when a client gives a high rating to a particular design, the contestants will create more proposals in that style, and vice versa.



Step 3: Run surveys on social media

After five days, several different designs were available, and Stefan could start an automated survey. In just a few minutes, his book cover survey was live, and his 10,000+ followers could vote for their favorite cover.



It was very interesting to see what our followers liked and what they didn't. But the average score was not very important for us. What really helped us pick the best cover were the comments on the different designs. They ruled out designs that looked great at first but had negative connotations for some readers.

I have authored many books, but I was never involved in deciding on the book cover. Typically, that's the publisher's sole decision. I absolutely love this process to develop the cover together with my co-authors and our future readers.

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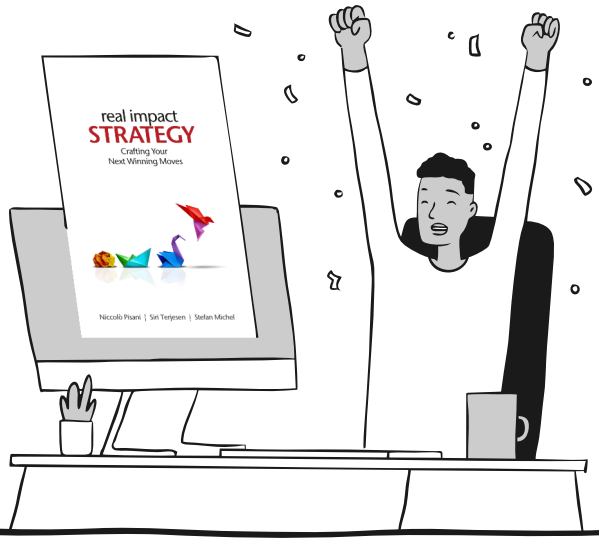
Step 4: Create a shortlist with up to six designs

After the survey, the authors picked the contestants for the shortlist. One of the covers that really resonated was the "origami" theme, as some called it.

Step 5: Pick the winning cover

The winner was announced at this point, and all other contestants learned that their cover was not chosen.



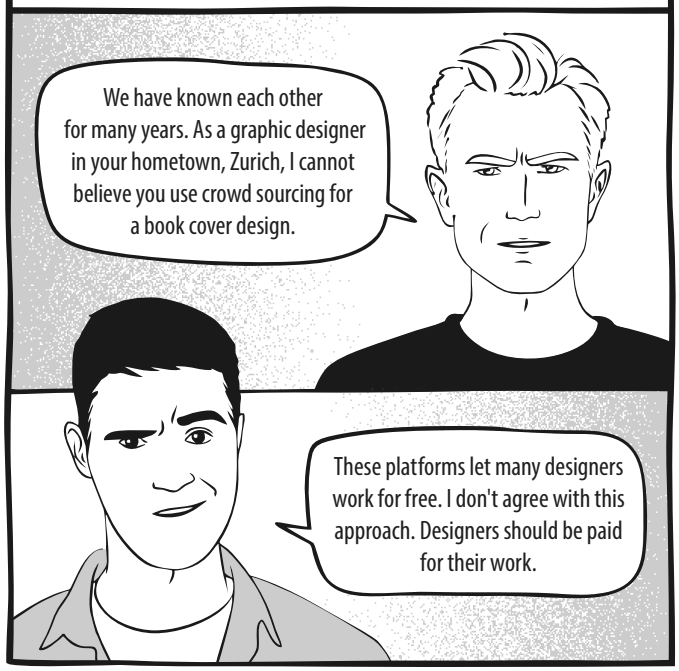
Step 6: Finalize the book cover

The authors asked the designer to change the background from blue to white and to change the sizes of the fonts. After the last edits, the designer handed over the native Adobe Illustrator files for the hardcover and softcover editions and the Kindle e-book. Only at this point did the designer receive the prize.

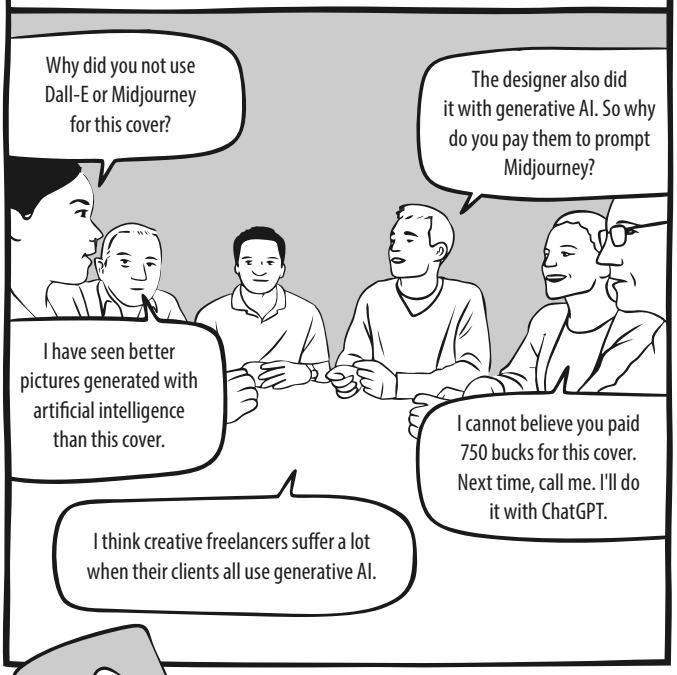
Looking back, Stefan reflected on his learnings.

The process was very interesting because through the many iterations I realized what cover I really wanted for this book. I would have needed to hire a professional designer and give them a brief that would lead to the same customer-tested result quickly.

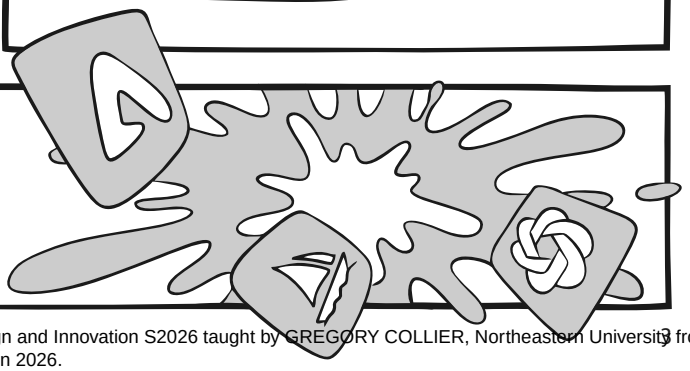
However, Stefan was confronted with two negative comments regarding the use of 99designs.com.



Some colleagues also challenged Stefan, Niccolò and Siri, but on a different dimension.



While it's true that in every competition some designers work for free, it is also true that one designer wins a client that they could not have reached otherwise. In the end, however, the biggest challenge for 99designs.com was that in 2023 GenAI disrupted the creative markets like never before.



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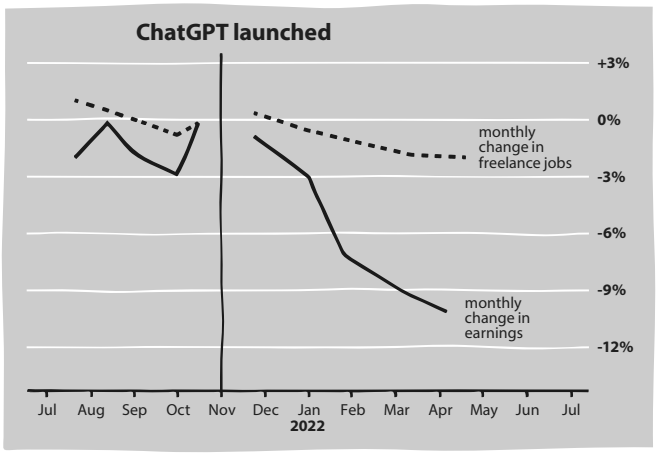
We studied the employment data of 92,547 freelancers at the online platform Upwork and found that the introduction of ChatGPT has decreased the number of jobs and earnings dramatically within months.

Xiang Hui is a professor of marketing at Washington University in St. Louis.

As the chart indicates, the jobs for freelancers on Upwork went down about 4%, and the revenues went down about 10%, all within only five months.



Source: Hui, Xiang, Oren Reshef and Luofeng Zhou. "The Short-Term Effects of Generative Artificial Intelligence on Employment: Evidence from an Online Labor Market." (31 July 2023).

James Edwards at FreelancerForté is not concerned.

Will AI nab all my clients? I really don't think so. High-end clients want strategy and critical thinking, and AI can't deliver this. Sure, it can manage basic code or produce content for blogs or articles but it cannot come up with experience-based, robust strategies that enable a company to grow and develop.

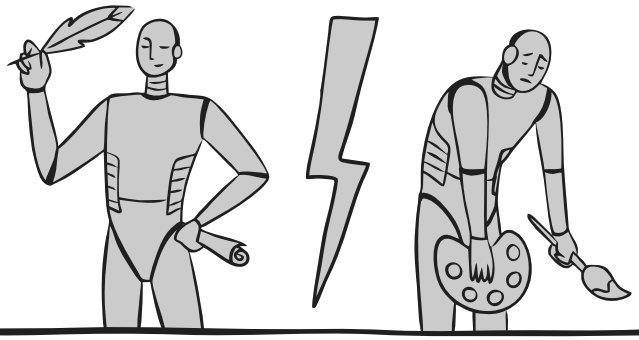
Jack Foster, author of **Winner as a Freelancer**, is also not worried. He's even somewhat optimistic.

Generative AI tools are here to empower freelancers, not take their work away. I see AI as helping with admin tasks - writing emails or creating easy images, helping with grammar - like a PA. Or replacing the low-paid activities that are a part of every freelancer's portfolio but that maybe aren't worth fighting for.

Some execs are even welcoming ChatGPT as a new team member, like Alice Stillman, founder of Chicago-based Cake Walk, a networking and marketing platform for culinary professionals.

We've found that ChatGPT is an excellent creative partner this year - and we didn't even have to give our newest team member a desk!

Generative AI both augments freelancers' work and enables clients to create content. ChatGPT has significantly affected freelance writing and editing jobs. However, the situation is currently less clear for graphic designers. Will generative AI ultimately become a blessing or a curse for freelance websites such as 99designs?



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